

Licensing & TCO Deep-Dive

Broadcom Changes, True Cost Modeling & 5-Year Savings

Broadcom's acquisition of VMware changed everything: perpetual licenses eliminated, prices increased 2-5x, bundles forced, and small customers dropped. This presentation provides line-by-line cost analysis comparing VMware's new pricing to KVM alternatives at every scale — from 10 VMs to 1,000 VMs — with 5-year projections.

Broadcom Impact | Per-Core Pricing | Bundle Analysis | 5-Year TCO | Hidden Costs | Migration ROI

Broadcom Licensing Changes

What changed in 2024-2025 and why organizations are forced to re-evaluate.

Key Changes Under Broadcom

Change	Before (VMware)	After (Broadcom)	Impact
License model	Perpetual + annual SnS	Subscription only (no perpetual)	Never own software; pay forever or lose access
Pricing unit	Per-socket	Per-core (min 16 cores)	2-5x price increase for modern CPUs (32-128 cores)
Product bundles	A la carte (buy what you need)	Forced bundles (VMware Cloud Foundation)	Pay for NSX, vSAN even if not used
Small customer support	Partners, resellers, online	Direct Broadcom only (many partners dropped)	10-50 VM customers lose access to support
Perpetual license status	Valid indefinitely	End-of-support; no patches after renewal lapse	Existing perpetual licenses become worthless
Multi-year discounts	Available (10-20%)	3-year minimum commitment required	Locked in for 3 years at inflated prices
Free ESXi	Free hypervisor available	Discontinued	Lab/test/small deployments need paid license
Audit frequency	Occasional	Aggressive compliance audits	Surprise true-up costs; audit disruption

Price Increase Examples (Real Customer Reports)

A 100-VM customer on vSphere Standard saw their renewal quote increase from \$45K/yr to \$187K/yr (315% increase). A 500-VM enterprise was quoted \$1.2M/yr for VMware Cloud Foundation vs \$350K/yr previously. Small businesses with 10-20 VMs received "minimum order" requirements of \$100K+ or were told to find a different vendor.

Per-Core Pricing Analysis

How per-core pricing dramatically increases costs for modern hardware.

Per-Socket vs Per-Core Cost Impact

Server Config	Sockets	Cores/Socket	Total Cores	Old Price (per-socket)	New Price (per-core)	Increase	Notes
Entry (old HW)	1	8	8	\$2,875	\$4,600 (16 min)	60%	16-core minimum applies
Small server	1	16	16	\$2,875	\$4,600	60%	Matches minimum
Mid-range	2	24	48	\$5,750	\$13,800	140%	Common config today
Standard	2	32	64	\$5,750	\$18,400	220%	Dell R760 typical
High-density	2	48	96	\$5,750	\$27,600	380%	AMD EPYC
Maximum	2	64	128	\$5,750	\$36,800	540%	AMD EPYC 9654

Based on VMware vSphere Standard per-core pricing (~\$287.50/core). Enterprise Plus is higher. VCF bundle adds NSX + vSAN costs.

The Modern CPU Penalty

Why Per-Core Hits Hardest Now

- CPU cores doubled every 3-4 years since 2018
- 2018: typical server = 2x 12-core = 24 cores
- 2024: typical server = 2x 32-core = 64 cores
- 2025: AMD EPYC = 2x 96-core = 192 cores
- Per-core pricing punishes hardware upgrades
- Perverse incentive: buy fewer cores (slower) to save license cost
- Or: switch to KVM (license cost = \$0 regardless of core count)

KVM: \$0 Per Core, Forever

- KVM is part of the Linux kernel (GPLv2)
- No per-core, per-socket, per-VM, or per-CPU licensing
- Buy the biggest CPU you want — no penalty
- AMD EPYC 9654 (192 cores): VMware = \$55,200/yr; KVM = \$0
- Hardware upgrades never increase software cost
- No audit risk, no true-up, no surprise bills
- Optional: RHEL subscription (\$799/host/yr) for support

5-Year TCO Comparison

Complete total cost of ownership for three deployment sizes.

Scenario A: Small (20 VMs, 2 Hosts, 32 cores each)

Cost Category	VMware (5yr)	KVM + RHEL (5yr)	KVM + Rocky (5yr)	Notes
Hypervisor licensing	\$92,000	\$0	\$0	VCF per-core x 64 cores x 5yr
OS subscriptions	Included	\$8,000	\$0	RHEL: \$799/host/yr x 2 x 5
Hardware (2 servers)	\$24,000	\$24,000	\$24,000	Same hardware
Migration cost	\$0	\$10,000	\$10,000	One-time labor (h2kvmctl free)
Training	\$0	\$5,000	\$5,000	KVM training for 2 admins
Operations (5yr)	\$125,000	\$125,000	\$125,000	Same admin effort
5-Year Total	\$241,000	\$172,000	\$164,000	
5-Year Savings	—	\$69,000 (29%)	\$77,000 (32%)	

Scenario B: Medium (100 VMs, 5 Hosts, 64 cores each)

Cost Category	VMware (5yr)	KVM + RHEL (5yr)	KVM + Rocky (5yr)	Notes
Hypervisor licensing	\$460,000	\$0	\$0	VCF x 320 cores x 5yr
OS subscriptions	Included	\$20,000	\$0	RHEL x 5 hosts x 5yr
Hardware (5 servers)	\$125,000	\$125,000	\$125,000	Same
Migration	\$0	\$45,000	\$45,000	One-time
Training	\$0	\$15,000	\$15,000	3 admins
Operations (5yr)	\$375,000	\$375,000	\$375,000	Same
5-Year Total	\$960,000	\$580,000	\$560,000	

5-Year Savings	—	\$380,000 (40%)	\$400,000 (42%)
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Scenario C: Large Enterprise

500 VMs, 20 hosts, 96-core AMD EPYC — where per-core pricing hurts most.

500 VMs, 20 Hosts, 96 Cores Each (1,920 total cores)

Cost Category	VMware VCF (5yr)	KVM + RHEL (5yr)	KVM + Rocky (5yr)	Notes
Hypervisor licensing	\$2,760,000	\$0	\$0	VCF ~\$287/core x 1920 x 5yr
vCenter + add-ons	\$175,000	\$0	\$0	vCenter + vROps + Log Insight
OS subscriptions	Included	\$80,000	\$0	RHEL x 20 hosts x 5yr
Hardware (20 servers)	\$800,000	\$800,000	\$800,000	Same hardware
Migration	\$0	\$90,000	\$90,000	One-time (500 VMs, 2 engineers, 12 weeks)
Training	\$0	\$25,000	\$25,000	5 admins, certifications
Operations (5yr)	\$1,250,000	\$1,250,000	\$1,250,000	Same staffing
5-Year Total	\$4,985,000	\$2,245,000	\$2,165,000	
5-Year Savings	—	\$2,740,000 (55%)	\$2,820,000 (57%)	

Summary Across All Scales

5-Year Savings by Scale

Scale	VMs	VMware 5yr	KVM 5yr	Savings
Small	20	\$241K	\$164K	\$77K (32%)
Medium	100	\$960K	\$560K	\$400K (42%)
Large	500	\$4,985K	\$2,165K	\$2,820K (57%)

Larger scale = larger savings % (per-core licensing scales linearly, KVM stays at \$0)

Hidden VMware Costs Not Included

- Audit true-up penalties (surprise \$50K-\$200K)
- Price increases at renewal (10-30% typical)
- Consultant fees for VMware-specific projects
- Vendor lock-in exit costs (if delayed)
- Opportunity cost of 3-year lock-in commitment
- Management overhead of license compliance
- **True savings likely 10-20% higher than shown**

KVM Saves \$77K to \$2.8M Over 5 Years — Depending on Scale

The math is clear: VMware's per-core subscription model creates an ever-growing cost that scales with hardware upgrades. KVM's cost is \$0 regardless of cores, sockets, or VMs. The migration investment (one-time) pays for itself in 3-10 months. Over 5 years, even the smallest deployment saves \$77K. hyper2kvm makes the migration technically straightforward — the only remaining question is when, not if.